are of significant notional size; (b) reducing quoted spreads; and (c) reducing an excessive amount of complexity that comes with having too many tiers.

The Commission is also not revising the proposed definition of round lot to reflect a "pure" notional value approach—whereby all quotes over a certain notional amount, regardless of the number of shares, would constitute a round lot—as some commenters suggested.[273] The new 40-, 10-, and 1-share tiers effectively require orders to be over a certain notional value to be assigned to those round lot sizes, but the Commission is reluctant to disrupt the longstanding practice of defining a round lot in terms of a number of shares. Doing so could substantially increase complexity and require significant additional systems reprogramming costs.[274]

While 100, 10, and 1 are the round lot sizes in use today, the Commission does not believe that the round lot sizes of 100, 40, 10, and 1 that the Commission is adopting will materially increase the difficulty of transitioning to the new round lot sizes. Only a few, infrequently traded stocks have round lot sizes other than 100 today, so market participants are not accustomed to 10 or 1 share round lot sizes on a significant scale. Additionally, the thresholds of the new round lot tiers that the Commission is adopting are set at a consistent notional value of $10,000, which, as one commenter observed, results in a more consistent

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273 See supra notes 249–250 and accompanying text.

274 Similarly, the Commission does not believe that the concept of a round lot should be eliminated as "obsolete" because round lot orders continue to play an important role in the national market system by delineating orders of meaningful size and focusing regulatory requirements and protections—such as those set forth in Rules 602, 603, 604 (17 CFR 242.604), 605 (17 CFR 242.605), 606 (17 CFR 242.606), 610 (17 CFR 242.610), 611 of Regulation NMS—on such orders as opposed to less significant orders. See Proposing Release, 85 FR at 16743–46. Rather, the Commission believes that eliminating the concept of a round lot could cause investor confusion and other unintended consequences.

treatment of securities regardless of per-share price[275] and helps to ensure that orders of meaningful size across securities of various prices are defined as round lots. The Commission believes that this structure will facilitate the transition to the new round lot sizes. Moreover, regulatory data includes an indicator of the applicable round lot size,[276] and the Commission is requiring the representation of quotation sizes in terms of the number of shares rather than the number of round lots. These requirements should alleviate concerns regarding potential confusion caused by the switch to different round lot sizes because the size of each quotation and the round lot of each stock will be included in consolidated market data. Finally, only 134 stocks currently have share prices above $250.00, further limiting the cost and complexity of the introduction of the new round lot sizes.[277] For these reasons, the Commission does not believe that the price-based definition of round lot will be confusing to investors.

Additionally, the Commission does not believe that a one-share round lot for stocks priced at or above $10,000.01 would have "unintended negative impacts" on price discovery and routing complexity[278] because, based on current pricing, only one stock would be included in the one-share tier, and that stock already has a round lot size of one.

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275 IEX Letter at 4.

276 See infra Section II.H.

277 According to data analyzed by staff for September 2020, 9,023 stocks would be included in the 100-share tier, while only 117 stocks would be included in the 40-share tier, 16 stocks would be included in the 10-share tier, and 1 stock would be included in the one-share tier.

278 See State Street Letter at 3 (suggesting there could be such impacts for a one-share round lot for stocks over $1,000).

Furthermore, the Commission does not believe it should defer action on defining round lot until it receives further public input, as one commenter recommended,[279] because the Commission received substantial comment on this issue from a wide range of market participants during this rulemaking process and in connection with the Market Data Roundtable.[280] Moreover, the definition of round lot is based on data-driven analysis. The Proposing Release included, among other things, data on the increasing prevalence of odd-lot trades, particularly among higher-priced stocks, the proportion of odd-lot trades occurring at prices better than the NBBO, and the proportion of these better-priced odd-lots that would be captured by the proposed definition of round lot.[281] As discussed above, staff has updated these data analyses and has performed similar data analyses.[282] The adopted definition is consistent with and supported by these analyses.

Finally, in response to the comment on the impact of the definition of round lot on options markets and on the standard convention that an options contract represents 100 shares of the underlying equity, the Commission does not believe that any such impact will be substantial or disruptive. As stated above, only a limited number of stocks will experience a change in their round lot sizes as a result of the amended definition of round lot.[283] Moreover, options on at least one stock that currently has a sub-100 round lot size are traded in standard units of 100

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279 See State Street Letter at 3.

280 See Market Data Roundtable, supra note 33.

281 See Proposing Release, 85 FR at 16739–43.

282 See supra Table 1 and Table 2; notes 240 and 241.

283 See supra note 277 and accompanying text.

shares, so there is some precedent for deviation between the standard number of shares for an options contract and the standard unit of trading for the underlying stock. Similarly, corporate actions, such as rights offerings, stock dividends, and mergers can result in adjusted contracts representing something other than 100 shares of stock.[284] For these reasons, the Commission believes that options markets will be able to adjust without undue cost to the new round lot sizes that will apply to some NMS stocks. The Commission will monitor the impact of these amendments on options markets going forward, including during the transition period.[285]

Monthly Round Lot Calculation: Some commenters disagreed with using the prior calendar month's average closing price on the primary listing exchange to determine a stock's price for purposes of assigning a round lot size to a stock, as proposed.[286] One commenter stated that the proposed monthly calculation for determining round lot size would be operationally risky and prone to errors and confusion.[287] That commenter suggested a monthly calculation might "cause a stock's round lot size to become significantly out of step with what it should be, particularly during periods of significant market volatility or when stock splits occur."[288] Another commenter suggested that monthly updates would be "messier" than updating

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284 See Options Clearing Corporation, Equity Options, available at https://www.theocc.com/Clearance-and-Settlement/Clearing/Equity-Options-Product-Specifications (last accessed Sept. 17, 2020).

285 See infra Section III.H.

286 See Nasdaq Letter IV at 17; Angel Letter at 17; AHSAT Letter at 4; NovaSparks Letter at 1.

287 See Nasdaq Letter IV at 17.

288 Id.

continuously.[289] A different commenter suggested "mak[ing] the referenced price that of the order itself (so each price level has a corresponding round lot size, and a given stock may have multiple round lot sizes at once)."[290] Another commenter recommended quarterly recalculations because the proposed monthly process "will add an administrative burden."[291] On the other hand, some commenters agreed with the proposal, stating that a monthly calculation time period strikes an appropriate balance.[292] One commenter noted that the monthly calculation "should not be too much hassle as long as the requirements are … clear."[293]

Selecting an appropriate stock price metric for the round lot size determination involves striking an appropriate balance between using accurate, up-to-date pricing information and avoiding the cost and complexity of over-frequent computation and potential round lot reassignment. The Commission continues to believe the proposed monthly approach strikes an appropriate balance.[294] The Commission believes continuous updating of round lot size or an order-based calculation would be too complex and would be subject to short-term price fluctuations, while quarterly updating could result in severely out-of-date tier assignments.

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289 Angel Letter at 17.

290 AHSAT Letter at 4.

291 NovaSparks Letter at 1.

292 See MFA Letter at 10; Data Boiler I at 25.

293 Data Boiler I at 25.

294 See Proposing Release, 85 FR at 16743. One commenter "suspect[ed]" that calculating round lot sizes automatically in real time might be operationally simpler and urged the Commission to "listen carefully to the brokerage ops people" with respect to this issue. See Angel Letter at 17. However, the Commission did not receive any comments from brokerage operations professionals or other commenters that provided a reasoned explanation for a different approach.

Additionally, market participants are accustomed to other kinds of monthly updates, including for SRO fees, so monitoring for round lot size changes resulting from price moves and making corresponding systems adjustments would not be overly burdensome or costly.[295] Therefore, the Commission is adopting a stock price calculation methodology based on the prior calendar month's average closing price on the primary listing exchange, as proposed. Additionally, to alleviate concerns that a stock's round lot size changing as its stock price changes could be confusing to market participants, the new definition of regulatory data, as discussed below, includes an indicator of the applicable round lot. The Commission believes that including this information about the applicable round lot size in consolidated market data will reduce confusion as market participants adjust to the new round lot sizes.[296]

As stated above,[297] the proposed definition of round lot provided that the IPO price would be used to determine an NMS stock's round lot size if the prior calendar month's average closing price is not available, and the Commission solicited comment regarding the stock price calculation methodology that should be utilized in this situation.[298] The Commission received one comment in response.[299] The Commission recognizes that there are other scenarios aside

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295 See infra Section V.C.1(b)(v).

296 Moreover, the Commission does not believe the round lot tiers will be "clunky," as one commenter suggested. Nasdaq Letter IV at 14. The Commission appreciates the commenter's concern that a small price shift around certain thresholds could cause large changes in round lot size, but the monthly methodology would address this concern by requiring a more sustained or extensive price shift to cause a stock to switch tiers.

297 See supra Section II.D.1.

298 See Proposing Release, 85 FR at 16743, 47.

299 Data Boiler Letter I at 25 ("We tend to think: no round lot size information until there is a prior full calendar month's average closing price on the primary listing exchange was

from IPOs—such as listings of securities traded in the OTC market or direct listings—where there may not be a full prior month of closing prices on the primary listing exchange that can be averaged to ascertain the stock's price. Therefore, the Commission is modifying the proposed definition of round lot to delete references to the IPO price and to add a new provision that for any NMS stock for which the prior calendar month's average closing price is not available, that stock's round lot shall be 100 shares.[300] This more general formulation will capture IPOs as well as other types of initial stock listings. In addition, assigning an initial, default round lot size of 100 shares to newly listed stocks will provide certainty and consistency and avoid the need to make last minute computations. Finally, the default assignment of a 100-share round lot size should be accurate for almost all new listings, since their prices tend to be well below $250 per share.[301]

(b) Impact on Other Rules in Regulation NMS

The Commission received multiple comments regarding how the proposed definition of round lot would impact Rules 602, 603, 604, 605, and 610.[302]

[sic] $500.01 or greater. Yet, we remain flexible to accommodate whatever minimum number of trading days as [sic] required by the industry and the SEC.").

300 See infra Section VIII.

301 Staff analysis found that for U.S. equity IPOs traded on U.S. exchanges and issued over the last year (as of November 12, 2020), the average share price was $13.75 and the highest share price was $120.

302 See Proposing Release, 85 FR at 16743–45 (explaining the requirements of Rules 602, 603, 604, 605, and 610 of Regulation NMS and the impact of the proposed round lot definition upon these rules). Rule 602 governs the dissemination of quotations in NMS securities. Rule 603 governs the distribution, consolidation, and display of information with respect to quotations for and transactions in NMS stocks. Rule 604 governs the display of customer limit orders for NMS stocks. Rule 605 governs the disclosure of order execution quality information. Rule 610(d), 17 CFR 242.610(d), requires each

Rule 602 Comments: One commenter suggested that having multiple NBBOs would make the concept of locked and crossed markets and execution quality "depend on your data provider and location. That in turn makes 'fair access' of exchange data (Rule 602) a little redundant. The SEC hopes there are around a dozen consolidators, so it's likely some will be faster than others."[303] On the other hand, another commenter agreed with the Commission "that the bids and offers collected and made available under Rule 602(a) should be in the proposed round lot sizes, and the proposed round lot definition should apply to the obligations of responsible brokers or dealers under Rule 602(b)."[304]

The amendments to the definition of NBBO to accommodate the decentralized consolidation model and the notion of "multiple NBBOs," which already exist today,[305] do not have any direct bearing on the requirements of Rule 602, which relate to the collection and provision of certain quotation data to vendors.

Rule 603 Comments: A number of commenters addressed the impact of the definition of round lot on Rule 603(c), the Vendor Display Rule. One commenter argued that the Commission did not consider the "indirect impact" of "the NBBO reflecting smaller-sized

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national securities exchange and national securities association to establish, maintain, and enforce rules that, among other things, require its members to reasonably avoid displaying quotations that lock or cross any protected quotation in an NMS stock and that prohibit its members from engaging in a pattern or practice of displaying quotations that lock or cross any protected quotation in an NMS stock, absent an applicable exception.

303 Letter from Phil Mackintosh, Chief Economist, Nasdaq, to Vanessa Countryman, Secretary, Commission, dated May 26, 2020, ("Nasdaq Letter III") at 24–25.

304 Data Boiler Letter I at 26.

305 See infra Section III.B.10.

orders" on the Vendor Display Rule.[306] That same commenter stated, "[t]he Commission also fails to consider whether the costs associated with retaining the Vendor Display Rule outweigh its benefits if the Commission adopts its proposed changes to the definition of 'round lot.'"[307] Another commenter argued that the round lot change would mean a "SIP, broker, or dealer would be required to provide a consolidated display reflecting smaller-sized orders in higher-priced stocks."[308]

A different commenter suggested that the protected quotation definition would increase complexity because the Vendor Display Rule "generally requires a 'consolidated display,' which would include an NBBO based on the revised round-lot sizes, in a context in which a trading or order routing decision can be implemented but would not require the display of valuable information about the protected quotation."[309]

The Commission continues to believe that providing a consolidated display that includes the new round lot NBBO is appropriate to help ensure that market participants receive basic quotation information, in a context in which a trading or order routing decision can be implemented. This information should reflect orders of meaningful size, including smaller-sized

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306 NYSE Letter II at 6–7.

307 Id.

308 Fidelity Letter at 6.

309 Cboe Letter at 8.

orders in higher-priced stocks.[310] Moreover, the commenter did not describe any specific costs, including any indirect costs, that it believed the Commission had not considered.[311]

Rule 604 Comments: One commenter suggested the round lot definition would create a burden on market participants to engage in "careful monitoring and changes to the programming of market makers['] systems … each month" in order to remain compliant with Rule 604, given the potential for month-to-month changes in round lot sizes for individual securities.[312] That commenter recommended a three-tiered structure to reduce such a burden.[313]

Another commenter suggested that the round lot definition's narrowing of the Rule 604 odd-lot exception, resulting in the display of customer limit orders at the NBBO but less than 100 shares, in combination with the proposed amendment to the definition of protected quotation, would "separate[] brokers' Rule 604 requirements from their best execution obligations … [and] create[] challenges for a broker-dealer to meet its best execution obligations because under the proposed amendments, a customer limit order that is less than 100 shares would not be protected under Rule 611."[314]

The Commission continues to believe that Rule 604 should use round lots, as defined and adopted herein, as the measure for customer limit orders that must be reflected in a specialist or

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310 Proposing Release, 85 FR at 16744.

311 See NYSE Letter II at 6–7. In addition, the comment related to additional complexity in the Vendor Display Rule as a result of the proposed amendment to the definition of protected quotation is no longer applicable, as the Commission is not adopting the proposed amendment to that definition. See infra Section II.E.2.

312 MFA Letter at 12–13.

313 Id.

314 Nasdaq Letter IV at 20–21 (footnotes removed).